

HP06 — The Empty Room Signal

Hospitality Perspectives | Leadership

Leadership

Are we treating the symptom — or listening to the signal?

An empty room is easy to see. The revenue that wasn't realised from it is easy to calculate. And that can make the conclusion feel obvious: The room is empty. Revenue has been lost. We need to fill it. But is that really what the empty room is telling us?

Perhaps. Or perhaps not. An empty room during a quiet period is not the same signal as an empty room during Christmas, New Year or Easter in a destination where those periods represent peak demand. And even then, the answer isn't necessarily to sell the room immediately.

The first question should be: Why is the room empty?

Before we answer that, perhaps we should ask: What evidence do we actually have?

The danger of FOMR

There is a particular commercial fear that can appear very quickly when inventory remains unsold: FOMR — Fear of Missing Revenue.

We see an empty room and imagine the revenue we might lose if we don't act. That imagined loss can become surprisingly powerful. It can push us towards discounting or other immediate actions before we've properly understood the situation.

But fear is not evidence. The possibility of losing revenue is not necessarily the same thing as an actual commercial problem. The room may be empty because demand is genuinely weak. The price may be wrong. The booking pattern may have changed. Or perhaps the room is being protected for demand that has a higher probability of arriving later.

We don't know yet. And that matters.

What we cannot see in tonight's revenue report

Imagine a hotel has one room remaining tonight. It could be discounted and sold immediately. Revenue would be realised. But what happens if a loyal guest arrives tomorrow and wants to stay for three or four nights at the hotel's appropriate rate?

The room that appeared to be "lost revenue" last night may actually have been valuable future inventory. By selling it too early, we may have captured one night's revenue while losing a more valuable opportunity across the following days.

And there is another dimension. That returning guest isn't simply another booking. They already have a relationship with the hotel. If we can accommodate them when they need us, we reinforce something that doesn't immediately appear in the revenue report: trust.

And trust can become: loyalty → repeat stays → preference → lifetime value.

The empty room itself did not create that value. The decision to protect the inventory may have helped preserve the opportunity to create it.

The visible and the invisible

The visible is relatively easy to measure: Occupancy. ADR. Revenue. Booking pace.

But beneath those numbers can sit things that are harder to see: Future demand. Length of stay. Guest mix. Rate integrity. Loyalty. Relationship value. Brand promise.

The numbers are important. They are signals. But a signal is not a diagnosis.

The discipline to pause

Perhaps this is where commercial leadership becomes a matter of character as much as technique. There is pressure to react. Pressure to demonstrate action. Pressure to avoid "leaving money on the table."

But disciplined decision-making sometimes requires something less visible: Patience.

Not passive patience. Disciplined patience. The willingness to say:

"I can see the signal. I don't yet know what it means."

Then search for the evidence. Understand the context. Test the assumptions. Consider what cannot immediately be seen. And only then decide.

Signal → Evidence → Understanding → Decision → Action.

Not: Signal → Fear → Reaction → Action.

Don't let the silo become the lens

Sometimes the signal is being misread because the people involved lack expertise. It is being misread because each discipline sees only part of the picture.

Revenue sees the empty rooms. Sales sees the pipeline. Marketing sees demand generation. Operations sees the operational consequences. Rooms sees the guest experience. The General Manager has to connect them.

The guest, meanwhile, experiences none of these silos. They experience one hotel.

This is why leaders benefit from stepping outside their own disciplines — not by becoming experts in everything, but by understanding how other parts of the business see the same situation. Small cross-disciplinary projects can help create that understanding.

Specialisation creates depth. Cross-disciplinary understanding creates perspective.

And the richer that understanding becomes, the better equipped the organisation is to make decisions that protect not only today's revenue, but tomorrow's guest experience and long-term value.

So what is the empty room telling us?

Perhaps it is telling us that demand is weak. Perhaps our price or proposition needs reconsidering. Perhaps the destination is experiencing a wider change. Perhaps we should act.

Or perhaps the most valuable decision is to wait, investigate and protect the opportunity that isn't visible yet.

The point is not to leave rooms empty. The point is not to fill them at any cost. The point is to understand what the signal means before deciding what to do about it.

Because sometimes the greatest commercial mistake isn't leaving a room empty. It is filling it too quickly because we were afraid of what the empty room might mean.

The Walton Thought

An empty room has a cost.

But the cost is not the most interesting thing about it.

The interesting thing is what the empty room is telling us.

Revenue tells us that value was — or wasn't — realised.

Strategy asks us why.